Eventually, selling assets will prove fruitless for most debtors. Many individuals will default as they turn their energies away from maintaining their credit ratings and toward obtaining the basic necessities of life. The weakest corporate sectors, led by issuers of junk bonds, will default. The next weakest sectors will be forced to pay huge rates to borrow just to compensate for the risk that the investor will assume he is taking with his principal. As each newly weak sector falls, thereby proving such fears correct, the rate rise will extend to more and more issues that were previously highly regarded but whose prices will be falling because of the need to raise cash and whose safety ratings will be falling because of the contracting economy. Every strong issuer will become a victim of the weak. Banks under such conditions will be foundering in a sea of red ink as borrowers default and their collateral slides in value. When the trend becomes global, Eastern European countries, despite the current euphoria over their future, will default on their loans; Russia will default on its loans; Central and South American countries will default on their loans; the Third World will default on its loans. Many First World governments will default on their guarantees to support Third World debt, then on their promises to bank depositors, retirees, the ill, the poor, and finally on their direct obligations to bondholders. The few remaining financially strong governments will be left holding the nearly worthless debt of weak ones. By the end of the crisis, the total issue value of bonds that have gone to zero could well be substantially more than the value of those that have not. Creditors will lose much of their principal, and the more incautious among them will go bankrupt.

The Role of Debt/Credit in Deflation and Depression

Mechanics of mood reinforcement such as those described above propel economic expansions as well as contractions, inflations as well as deflations. The dynamic is less recognized in expansions because, due to their relative longevity, people view them as normal. That is why economists sometimes refer to depressions as "spirals," but do not so refer to booms. Yet they are both processes involving mood and a reinforcing feedback loop of result and new cause. Expansions begin with a psychological change that produces initial positive results, which then feed the psychology anew. This reinforcement continues until the participants are exhausted. Booms